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United States Department of State

Washington, D. C. 20520

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INFORMATION MEMORANDUM

S/S

October 7, 1986

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TO : The Secretary

FROM : S/P - Richard Solomon

SUBJECT: Reykjavik Pre-Summit - Links between Soviet Human Rights and Economic Development

In your preparations for the meetings with the Soviets in Reykjavik, Charlie Hill suggested that we put together some ideas about the relationship between Soviet human rights behavior and their economic development efforts.

Soviet failure to improve the human rights condition of its citizens has two significant negative impacts on the ability to improve economic performance:

First, the nature of the world economy -- and the ability of the Soviet Union to play a key role in it -- depends on fundamental domestic reforms:

- Command economies, such as the Soviet Union's, are based on restricting economic freedom and maximizing the benefits to the state of economic actions. The result is an inflexible system where change is a threat rather than a challenge for improvement.
- General Secretary Gorbachev recognizes that the rapid pace of global technological change and the inability of the Soviet system to adapt to this change poses a major threat to the competitiveness of the Soviet economy.
- Experience around the world where economies - developed and developing - have adapted to change demonstrates that

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open societies encouraging free scientific inquiry and individual initiative are the ones with the best potential for success in this post-industrial age.

- Free exchange of information is crucial both within societies and with other societies. This is key for economic growth.
- Scientists and industrialists must interact on an open basis if ideas and theories are to become practical, applied measures for improving the well-being of society. Scientists and industrialists must be able to communicate with their colleagues in foreign countries, and travel freely - if necessary, staying abroad for extended periods of time - so that they can further refine their own thinking and learn the ideas of others.
- Restrictions on the creative elements of societies (the intellectual community in particular) only breed isolationism and autarky. Isolationism and autarky guarantee economic failure in the post-industrial era.
- The domestic and external sectors of society interact with increasing power in a world of economic interdependence and electronic intimacy.
- As long as Soviet society operates under a regime based on controlling information, opportunities, consumer choices, and ability to communicate with both fellow-citizens and foreigners, questions will be raised about expressions of interest in greater participation in a world economy which functions on principles of openness that are inconsistent with such a regime.
- Why would Western industrialists risk their interests - based as they are on the concept of mutual benefit in economic relations - in an environment where the benefits flow only to the Soviet state?
- Opportunities abound in developed and developing countries for trade and joint ventures based on mutual benefit in an open economic setting. Practical businessmen will seek their future in encouraging and familiar settings, rather than in a closed society where experience has proven that dynamic economic activity is constrained by the internal political regime.

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Better relations between countries are not the products of signed contracts or the export of pieces of machinery. Better relations are the result of free exchange of ideas, contacts between peoples in ways that build trust and confidence, and mutual benefits from economic relations.

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